

FY24 Proposed Internal Audit Plan

Internal Audit Mission

The mission of Internal Audit is to help improve ATP's governance, control, and risk management through independent, objective assurance and advisory services. Guided by the authority and responsibilities outlined in ATP's Audit Charter, Internal Audit is organizationally independent of ATP administration, and reports directly to the ATP Board.

Internal Audit governs itself by adhering to the mandatory elements of The Institute of Internal Auditors' International Professional Practices Framework, including the Core Principles, the Code of Ethics, and the International Standards for the Professional Practice of Internal Auditing in carrying out its duties.

About Us

Additional information on who we are, what we do, our professional resources, and the results of our audit projects is available on our webpage at: www.atptx.org/about/internal-audit

Ethics Hotline

If you have a concern about potential misconduct or a violation of ATP policies, we provide simple and anonymous ways to voice your concerns. Visit our online ethics portal at: atp.ethix360.com or call 888-57-2ATPTX (2-8789) for assistance.

For questions about this plan, please contact us at ATP_audit@atptx.org.

What is the purpose of this plan?

Each year, we want to share information on what we intend to audit in the upcoming fiscal year. We provide this information at the start of ATP's fiscal year so that we align our project work with the fiscal cycle that ATP follows. Providing this information helps us increase transparency at ATP and serves as a notification to the public, the Board, and management that our work will focus on specific aspects of ATP's governance, control, and risk management in the upcoming year. Additionally, the professional audit standards we follow require us to periodically prepare an audit plan and submit the plan to the ATP Board for approval.

How was this plan created?

Internal Audit performed an organizational risk assessment to evaluate the governance, risk management, and operations of ATP to prepare the list of priority projects included in this plan. These projects are intended to provide the greatest possible benefit to ATP given resources and combined assurance from other oversight functions.

What types of projects are included in this plan?

Projects in this plan include audit and advisory services conducted by Internal Audit, and projects outsourced to external assurance providers. If needed, this plan will be revised throughout the fiscal year in response to changes in ATP's risk environment, operations, programs, systems, and controls. Significant deviations will be shared with the ATP Board, in addition to our progress on completing this plan.

What's new this year?

This year we've included follow-up activities as part of our audit plan. These projects evaluate management actions taken to determine if the agreed-upon audit recommendations have been addressed with the ultimate goal of mitigating identified risks and enhancing ATP's efficiency and effectiveness. Internal Audit categorizes all recommendations issued based on the area of ATP that is primarily impacted by the audit recommendation and assigns a risk rating to each recommendation so that we can prioritize follow-up work to address ATP's most pressing needs. We will report the results of follow-up testing to the ATP Board and management and we'll continuously provide an update on the status of this work using an online dashboard coming soon to our webpage.

What happens if these projects cannot be completed?

If we determine that one or more of the planned projects cannot be completed or completion would provide more value at a later date, we will replace the planned project(s) with an alternative project from the pool of previously identified priority replacement projects. Needed resources and costs will be evaluated as project replacements occur. These priority replacement projects include:

- ATP Quality Control Practices (advisory project)
- Community Response and Satisfaction (audit project)
- Project Planning for Growth (audit project)
- FTA Requirements: Project Planning (audit project)

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AUDIT PROJECTS

Project Topic	Preliminary Objective	Priority	Source ¹
Contract Monitoring	Are ATP contract monitoring efforts coordinated across the organization and is contractor oversight ensuring project needs are met?	High	Internal Audit
Human Resources: Hiring and Employee Retention Processes	Are hiring processes ensuring ATP is employing staff that meet prescribed minimum qualifications, and what practices are currently in place to track employee turnover and retain staff?	Medium	Internal Audit
Language Access: Project Communications	Are communications to the public sufficiently meeting the language and accessibility needs of the Austin community? Are reporting methods effectively communicating the project's progress, including whether ATP is on schedule and within budget for project delivery?	High	Internal Audit
Procurement Processes	Do procurement processes comply with ATP policies and FTA requirements to promote efficient and fair contracting?	High	Outsource
IT Security	Has ATP designed an IT environment that ensures ATP data, systems, and infrastructure are properly secured and protected from loss?	High	Outsource

NON-AUDIT AND ADVISORY PROJECTS

Project Topic	Objective	Priority	Source
Annual Audit Planning	Perform an organization-wide risk evaluation and prepare next year's annual audit plan	High	Internal Audit
Ethics Investigations	Review complaints received through the ethics hotline and conduct related investigations as needed	High	Internal Audit
Audit Follow-Up	Evaluate management actions taken to address previously issued audit recommendations	Medium	Internal Audit
Other Risk Advisory Services	- Provide input on ATP policies and processes to enhance internal controls, as requested by management - Participate as risk advisor in various capacities	Medium	Internal Audit

¹ The resources needed to carry out this audit plan are considered as part of ATP's annual budget deliberations which occur each year in September. Internal Audit did not request additional staffing resources this year but may opt to notify the Board of the intention to fill the second auditor position approved in the FY2023 budget later this year should the need arise.